

Adobe Systems (Computer Software & Svcs., NASDAQ, ADBE)

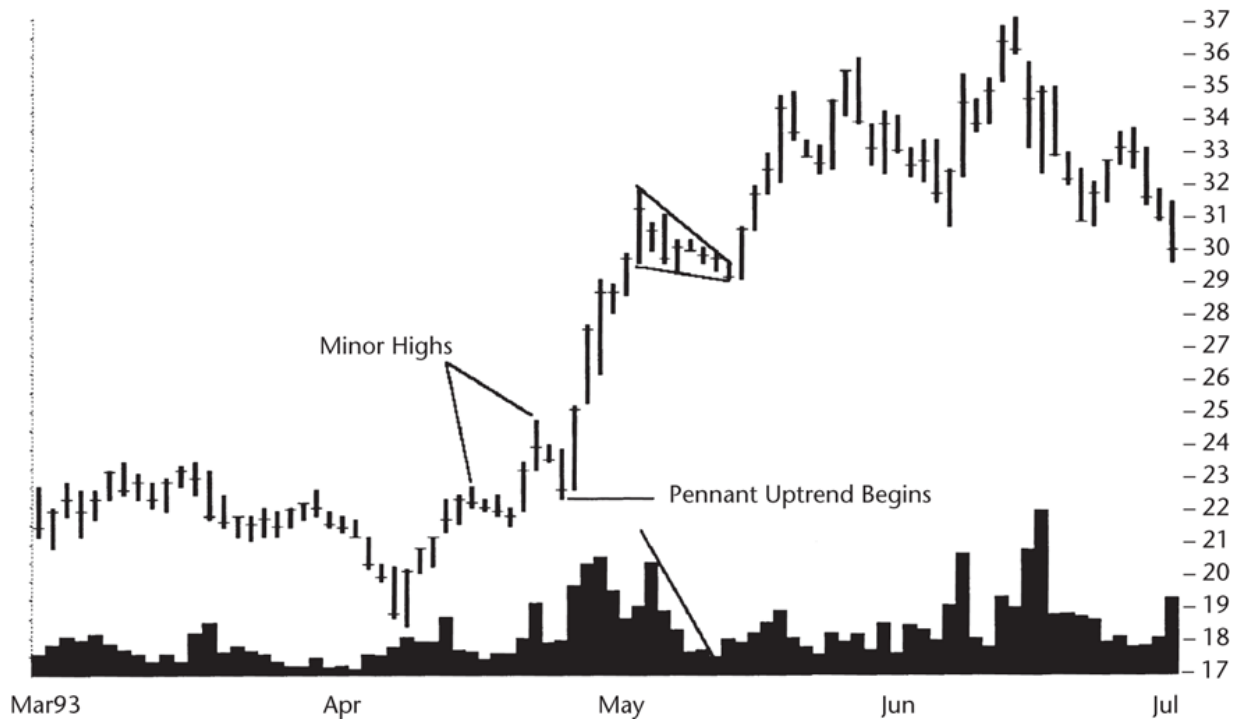


Figure 48.2 A short pennant forms after a quick price rise. The pennant slopes downward and price moves upward after leaving the pennant.

The figure shows the start of the flagpole (“Pennant Uptrend Begins”). The pole ends at the top left of the pennant.

Volume. Most of the time, pennants will have a downward volume trend, but do not exclude a pattern because volume slopes upward.

Breakout direction. Price breaks out of the pennant when it closes outside one of the pennant's trendline boundaries. Price can slide out the pennant's apex, but it'll eventually close above the top or below the bottom of the pennant to force a breakout. Sometimes, you may wish to wait for price to exceed the flagpole top before considering taking a position.

Duration. The 3-week maximum is an arbitrary limit. Pennants can range in length from a few days to 3 weeks. A pattern longer than 3 weeks is better classified as a symmetrical triangle, or rising or falling wedge. The pennants I looked at averaged 8 days long (not including the flagpole).

Figure 48.3 shows a small pennant carried along in a downward price trend. Price undershoots the pattern (for 2 days) at the start, but the pennant